



Qualification Programme Examination Panelist's Report

Module 2 – Management Accounting (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 20 multiple-choice questions. Candidates should allocate approximately 36 minutes for this section.

The syllabus of this paper relates broadly to the following topics:

- (a) Explain the role and purpose of management accounting;
- (b) Apply cost accounting;
- (c) Apply the principles and techniques for budgeting and forecasting; and
- (d) Analyse information for performance measurement.

Section A questions cover a wide range of topics in the syllabus. The overall performance in this section was good, but some candidates were weak in some of the topics.

Specific Comments

Candidates performed well with the strategic management accounting (total quality management and just-in-time production), preparation of functional budgets, types of budget and balanced scorecard, but were weak in the following topics:

- (a) Functions of management;
- (b) Variance analysis (material and labour variances);
- (c) Different standards; and
- (d) Profitability ratios (earnings per share and price-to-earnings ratio).

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and the related application to specific situations. As with past sessions, candidates, in general, performed well in the computational questions but were weak in answering essay-type questions.



Most candidates performed well in Questions 2 and 3. The overall performance in this section was satisfactory.

A few candidates were able to score good marks and they demonstrated sufficient preparation and an ability to present their answers in response to what was required with relevant workings and/ or explanations.

Specific Comments

Question 1(a) – 10 Marks

This question required candidates to prepare the budgeted statement of profit or loss using an absorption costing system.

The performance was satisfactory. A few candidates were not able to calculate correctly the production costs of sales as they failed to include fixed production overheads. Many candidates failed to calculate correctly the under/ (over) absorbed fixed production overhead costs.

Question 1(b) – 9 Marks

This question required candidates to prepare the budgeted statement of profit or loss using a marginal costing system.

The performance was satisfactory. A few candidates were unable to demonstrate an understanding of the concept of contribution margin in that they did not separate the variable and fixed costs correctly.

Question 1(c) – 4 Marks

This question required candidates to reconcile the difference in budgeted profits by using an absorption costing system and a marginal costing system.

The performance was less than satisfactory. As most candidates could not calculate correctly the profits under the two systems in (a) and/ or (b) above, they were not able to work out correctly the reconciliation.

Question 1(d) – 3 Marks

This question required candidates to state the reasons for using a marginal costing system instead of an absorption costing system for internal decision-making.

The performance was far from satisfactory. Only very few candidates could provide relevant answers to this part. This demonstrates the insufficient preparation of most of candidates.



Question 2(a) – 4 Marks

This question required candidates to calculate the shortage of direct labour hours to meet all sales demands of the two products.

The performance was good as more than 90% of candidates were able to get full marks for this part.

Question 2(b) – 16 Marks

This question required candidates to prepare an optimal production plan and calculate the contribution margin and total profit of the company.

The performance was satisfactory only. A few candidates did not recognise that this was a question about limiting factor (direct labour) and thus not able to calculate initially the contribution margin per labour hour, then the optimal production plan and ultimately the required contribution margin and total profit.

Question 2(c) – 6 Marks

This question required candidates to explain the ways to overcome the labour shortage.

The performance was fair in that more than half of the candidates were able to provide one to two ways to overcome the labour shortage.

Question 3(a) – 2 Marks

This question required candidates to explain the type of cost behaviour of labour costs.

The performance was less than satisfactory in that many candidates did not recognise that the labour costs were mixed costs.

Question 3(b) – 5 Marks

This question required candidates to calculate budgeted production costs using the high-low method.

The performance was good as most candidates were able to calculate the materials and production overhead costs. However, many candidates did not calculate correctly the labour costs because of their inability to recognise it as mixed costs as required in part (a).



Question 3(c) – 11 Marks

This question required candidates to the production budget by month for the specific quarter.

The performance was good as most candidates were able to calculate the good output required but failed to use the correct basis to work out the normal loss and thus were unable to work out the production budget correctly.

Question 4(a) – 4 Marks

This question required candidates to calculate the residual income and analyse the result.

The performance was satisfactory as most candidates were able to calculate the residual income correctly. However, some candidates did not relate the positive residual income to be acceptable in that the return is higher than the required rate of return.

Question 4(b) – 6 Marks

This question required candidates to explain three advantages of using non-financial measures to track company performance.

The performance was unsatisfactory as most candidates were not able to provide explicit answers.

(III) Conclusion and Recommendation

Candidates' performance on questions on absorption costing and marginal costing systems was less than satisfactory. Both systems are popular and would be frequently examined. Most candidates did not do well on performance measurements; however, candidates should be aware that non-financial performance measurements are more prominent in most companies nowadays.

Candidates are advised to adequately prepare for their examinations as it appears that some candidates skipped the topic on performance measurement while many candidates performed poorly on essay-type questions. Candidates may consider reviewing the past examination papers so that they understand more deeply what the examiner requires in different types of questions in order to help them better prepare for their examinations.